498B to satisfy its delivery obligations under section 5(b)(2) of the Securities Act.[530] Such failure would, however, constitute a violation of proposed rule 498B.

We recognize that a fund could inadvertently violate the delivery upon request and "convenient for reading and printing" requirements of the rule. For example, weather issues or other forces outside of the fund's control could present challenges for compliance with the three-business-day deadline. Likewise, whether a particular format is convenient for reading online and printing depends on a number of factors and must be decided on a case-by-case basis.[531] In order to provide greater certainty to market participants and funds who seek to rely upon the rule, these requirements would not be conditions to rely upon proposed rule 498B, as discussed in the paragraph above. We seek comment on this provision of proposed rule 498B and specifically on the following issues:

207. Should compliance with any or all of the proposed delivery upon request or "convenient for reading and printing" requirements be a condition of reliance on proposed rule 498B? That is, should failure to comply with these requirements result in a violation of section 5(b)(2) of the Securities Act? Alternatively, should the failure to comply with these requirements be a violation of Commission rules that does not result in an inability to rely on the rule or a violation of section 5(b)(2)?

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530 *See* proposed rule 498B(d)(3); *see also* rule 498(f)(5) (parallel provision in the rule governing the use of mutual fund summary prospectuses).

531 *See* 2009 Summary Prospectus Adopting Release, *supra* footnote 10, at nn.272 and 273 and accompanying text (relevant factors include the manner in which the online version renders charts, tables, and other graphics; the extent to which the online materials include search and other capabilities of the internet to enhance investors' access to information and include access to any software necessary to view the online version; and the time required to download the online materials).

G. Amendments Narrowing Scope of Rule 30e-3

Subject to conditions, rule 30e-3 generally permits investment companies to satisfy shareholder report transmission requirements by making these reports and other materials available online and providing a notice of that availability instead of directly mailing the report (or emailing an electronic version of the report) to shareholders.[532] We are proposing to amend the scope of rule 30e-3 to exclude investment companies registered on Form N-1A, which would be sending tailored annual and semi-annual reports under the proposal. We are also proposing conforming amendments to Form N-1A that would remove the current statement that rule 30e-3 requires to appear on a fund's summary and statutory prospectus and annual and semi-annual reports informing investors of the change in delivery format options if the fund intends to rely on rule 30e-3 prior to January 1, 2022.[533]

When the Commission adopted rule 30e-3 in 2018, it stated that the rule's new "notice and access" option for transmitting shareholder reports was intended to modernize the manner in which funds deliver periodic information to investors.[534] The Commission also stated that it believed that the new rule would improve investors' ability to access and use this information (for example, by providing investors with access to at least a full year of complete portfolio holdings information in one location), while reducing expenses associated with printing and mailing that are borne by funds, and ultimately, by their

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532 Rule 30e-3 Adopting Release, *supra* footnote 14.

533 *See* proposed Form N-1A; *see* rule 498(b)(1)(vi) and (b)(1)(vii); paragraph (a)(5) to Item 1 of Form N-1A; paragraph (d)(8) to Item 27 of Form N-1A.

534 *See* Rule 30e-3 Adopting Release, *supra* footnote 14, at paragraph accompanying n.18.

investors.[535] Furthermore, the Commission stated that it continues to search for better ways of providing investors with the disclosure that they need to evaluate funds in which they are considering investing or currently hold shares.[536] As part of these general efforts, the Commission noted that it was issuing—at the same time that it adopted rule 30e-3—the Fund Investor Experience RFC, which was directed at investors regarding ways in which fund disclosure, including shareholder reports, may be improved.[537]

As discussed above, the new proposed disclosure framework considers feedback that commenters provided in response to the Fund Investor Experience RFC and reflects the Commission's continuing efforts to search for better ways of providing investors with the disclosure that they need. The proposed movement away from a notice and access model for open-end fund shareholder report transmission—and towards a model that contemplates direct transmission of concise shareholder reports—reflects our understanding based on responses to the Fund Investor Experience RFC, prior investor testing and surveys, and other disclosure reform initiatives that shareholders strongly prefer layered disclosure.[538] It also reflects a model that certain commenters to the Fund Investor Experience RFC specifically suggested fund investors would find to be useful.[539]

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535 *Id.*

536 *Id.* at paragraph accompanying nn.20 and 21.

537 *Id.* at n.20 and accompanying text; *see also* Fund Investor Experience RFC, *supra* footnote 8.

538 *See supra* Section I.B.1.

539 *See supra* footnote 44 and accompanying text; *see also supra* footnote 100 and accompanying and following text (discussing Investor Advisory Committee recommendation that the Commission develop an approach to funds' shareholder reports that would rely on summary disclosure and layered disclosure principles).

Furthermore, the proposed approach reflects the Commission's recent experience with tailoring investment company disclosure requirements to the needs of new versus existing investors.[540] In light of all of these considerations, we preliminarily believe that the proposed disclosure approach represents a more-effective means of improving investors' ability to access and use fund information, and of reducing expenses associated with printing and mailing, than continuing to permit open-end funds to rely on rule 30e-3.[541]

Although funds can generally begin relying on rule 30e-3 on January 1, 2022, funds may rely on rule 30e-3 prior to that date if they include certain legends on fund prospectuses and shareholder reports stating that shareholder reports will eventually be available online and no longer will be sent to shareholders.[542] We required an extended transition period and related disclosures in connection with implementation of rule 30e-3 to alert investors that they would no longer be receiving reports in the mail and to provide time for affected investors to tell their fund or financial intermediary that they wished to continue receiving reports in paper, if that was their preference. Under this proposal, in contrast, investors would be receiving this information directly, and so there would not be a need to provide time for investors to express a different preference. Shareholders receiving the annual and semi-annual reports that this proposal contemplates would be receiving tailored information more directly than they would via the rule 30e-3 notice. However, if this proposal is adopted, a fund that has

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540 *See supra* footnote 99 and accompanying text.

541 *See infra* Section III.C.2.d (discussing the estimated reduction of printing and mailing costs under the proposed approach.)

542 *See* Rule 30e-3 Adopting Release, *supra* footnote 14, at text following n.257.

previously relied on rule 30e-3 might wish to communicate to investors the change and could, for example, do so in an annual report sent to investors.[543]

We generally seek comment on the proposed amendments to rule 30e-3, and specifically seek comment on the following issues:

208. The proposed amendments would exclude investment companies registered on Form N-1A from relying on rule 30e-3. Is such exclusion appropriate, in light of our goals of ensuring that all investors in these funds experience the anticipated benefits of the new tailored disclosure framework? Is the proposed approach to the transmission of shareholder reports preferable to the optional shareholder report transmission method that rule 30e-3 currently provides, in terms of the goal of improving investors' ability to access and use fund information, and reducing expenses associated with printing and mailing? Does the proposed approach more closely align with shareholders' preferences than the approach under rule 30e-3? Does the proposed approach represent a better way of providing investors with the disclosure they need to monitor their fund investments and make informed investment decisions? Are there any other considerations we should take into account in evaluating whether to adopt the proposed approach in lieu of continuing to permit open-end funds to rely on rule 30e-3's notice and access model?

209. If we were to adopt the proposed rules and amendments for tailored shareholder reports, should we also allow open-end funds to continue to rely on rule 30e-3?[544] Why or why not? If we were to permit funds to continue relying on rule 30e-3, are there any changes we should make to the proposed rules and amendments in light of this? For example,

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[543] *See supra* footnote 275 and accompanying text.

[544] *See generally* Sections II.B through II.D and requests for comment in *supra* Section II.C.3.b.